



INTERIM FINANCIAL STATEMENTS

30 JUNE 2017



Arpico Insurance PLC

STATEMENT OF COMPREHENSIVE INCOME

For the Three Months Ended 30 June

		Three Months Ended 30 June 2017 Unaudited Rs	Three Months Ended 30 June 2016 Unaudited Rs
	Note		
Revenue		241,645,973	194,303,279
Gross written premium	3	209,778,678	172,457,201
Premium ceded to reinsurers	3	(12,290,064)	(6,487,279)
Net written premium		197,488,614	165,969,922
Other Revenue			
Fee and Commission Income	3	4,332,191	1,561,194
Income from investments	5	37,415,186	25,845,425
Realise Gain	3	1,297,874	-
Other Income	3	1,112,108	926,738
Total Other revenue		44,157,359	28,333,358
Net Income		241,645,973	194,303,279
Net insurance benefits and claims paid		(20,167,487)	(14,377,289)
Net change in insurance claims outstanding		(2,011,576)	(8,380,742)
Underwriting and Net Acquisition Costs		(88,846,467)	(36,792,434)
Change in Contract Liabilities - Life Fund		(62,049,671)	(90,713,272)
Other operating and administrative expenses		(56,991,663)	(31,604,930)
Net benefits and claims		(230,066,864)	(181,868,666)
Profit/(Loss) before tax		11,579,109	12,434,613
Income tax expense		-	-
Profit/(Loss) for the Period		11,579,109	12,434,613

Arpico Insurance PLC

STATEMENT OF OTHER COMPREHENSIVE INCOME

For the Three Months Ended 30 June

	Notes	Three Months Ended 30 June 2017 Unaudited Rs	Three Months Ended 30 June 2016 Unaudited Rs
Profit / (Loss) for the year		11,579,109	12,434,613
Other Comprehensive Income			
Other comprehensive income to be reclassified to profit or loss in subsequent periods			
Net change in fair value of available-for-sale assets		(6,732,268)	1,282,353
Fair value movement of AFS reserve transferred to life fund		6,732,268	(1,282,353)
Other comprehensive income not to be reclassified to profit or loss in subsequent periods			
Re-measurement gain on defined benefit Plan		-	-
Other Comprehensive Income		-	-
Total Comprehensive Income for the Period		11,579,109	12,434,613

The accounting policies and notes as set out in pages 8 to 12 form an integral part of these financial statements.

Arpico Insurance PLC

STATEMENT OF COMPREHENSIVE INCOME

For the Six Months Ended 30 June

		Six Months Ended 30 June 2017 Unaudited Rs	Six Months Ended 30 June 2016 Unaudited Rs
	<u>Note</u>		
Revenue		<u>473,490,019</u>	<u>353,914,612</u>
Gross written premium	3	408,275,410	313,324,954
Premium ceded to reinsurers	3	<u>(19,308,948)</u>	<u>(11,438,915)</u>
Net written premium		388,966,462	301,886,039
Other Revenue			
Fee and Commission Income	3	8,739,937	3,006,112
Income from investments	5	72,254,051	47,316,391
Realise Gain	3	1,297,874	
Other Income	3	<u>2,231,695</u>	<u>1,706,070</u>
Total Other revenue		84,523,556	52,028,573
Net Income		473,490,019	353,914,612
Net insurance benefits and claims paid		(49,198,442)	(21,908,242)
Net change in insurance claims outstanding		(1,456,797)	(5,983,735)
Underwriting and Net Acquisition Costs		(149,662,384)	(80,288,750)
Change in Contract Liabilities - Life Fund		(150,136,984)	(161,660,586)
Other operating and administrative expenses		<u>(99,303,633)</u>	<u>(61,759,084)</u>
Net benefits and claims		(449,758,240)	(331,600,396)
Profit/(Loss) before tax		<u>23,731,779</u>	<u>22,314,216</u>
Income tax expense		-	-
Profit/(Loss) for the Period		<u>23,731,779</u>	<u>22,314,216</u>

Arpico Insurance PLC

STATEMENT OF OTHER COMPREHENSIVE INCOME

For the Six Months Ended 30 June

	Notes	Six Months Ended 30 June 2017 Unaudited Rs	Six Months Ended 30 June 2016 Unaudited Rs
Profit / (Loss) for the year		23,731,779	22,314,216
Other Comprehensive Income			
Other comprehensive income to be reclassified to profit or loss in subsequent periods			
Net change in fair value of available-for-sale assets		(7,229,964)	3,101,254
Fair value movement of AFS reserve transferred to life fund		7,229,964	(3,101,254)
Other comprehensive income not to be reclassified to profit or loss in subsequent periods			
Re-measurement gain on defined benefit Plan		-	-
Other Comprehensive Income		-	-
Total Comprehensive Income for the Period		23,731,779	22,314,216

The accounting policies and notes as set out in pages 8 to 12 form an integral part of these financial statements.

Arpico Insurance PLC

STATEMENT OF FINANCIAL POSITION

As at 30 June 2017

	Notes	30-Jun-17 Unaudited Rs.	31-Dec-16 Audited Rs.
Assets			
Property, Plant and Equipment		32,936,331	21,850,521
Financial Assets	7	1,450,321,548	1,245,402,750
Loans to Life Policy Holders		130,938,720	111,675,715
Reinsurance Receivable		24,510,851	7,706,821
Premium Receivable		44,250,805	39,491,469
Other Assets		69,103,725	54,329,540
Cash and Cash Equivalents		47,572,110	106,504,318
Total Assets		1,799,634,089	1,586,961,135
Equity and liabilities			
Shareholders' Equity			
Stated capital		675,564,870	675,564,870
Revenue Reserves		102,876,798	79,145,018
7RWDO 6KDUHKROGHUV (TXLW)		778,441,668	754,709,888
Liabilities			
Insurance Provision - Life	8	883,414,804	726,047,856
Employee Benefit Obligation		5,128,429	4,608,990
Reinsurance Creditors		40,469,646	22,729,392
Amounts Due to Related Party	10	5,007,545	6,676,507
Financial Liabilities		68,396,445	54,461,564
Other liabilities		18,775,554	17,726,937
Total Liabilities		1,021,192,421	832,251,247
7RWDO /LDELOLWLHV DQG 6KDUHKROGHUV (TXLW)		1,799,634,089	1,586,961,135

These Financial Statements are prepared in compliance with the requirements of the Companies Act No. 07 of 2007.

« « « « « « « «
Financial controller
(Melanga A. Doolwala)

The Board of Directors is responsible for the preparation and presentation of these financial statements. Signed for & behalf of the board.

« « « « « « « «
Director
(W.J. Viville P. Perera)

« « « « « « « «
Director
(Shiron Gooneratne)

The accounting policies and notes as set out in pages 8 to 12 form an integral part of these financial statements.

9 August 2017
Colombo

Arpico Insurance PLC

STATEMENT OF CASH FLOW
For the Six Months Ended 30 June

	Notes	2017 Rs.	2016 Rs.
Operating activities			
Premium received from customers		400,194,769	346,136,523
Payment to ReInsurer		(5,586,367)	(6,897,256)
Claims paid		(39,421,162)	(26,618,671)
Cash received from Reinsurer		-	(343,098)
Payment to suppliers and others		(190,165,993)	(135,997,054)
Cash Inflow from Operating Activities		<u>165,021,247</u>	<u>176,280,445</u>
Tax Paid		<u>(4,689,528)</u>	<u>(3,793,916)</u>
Net Cash Flows from Operating Activities		<u>160,331,719</u>	<u>172,486,529</u>
Investing activities			
Purchase of property and equipment		(15,903,141)	(3,673,435)
Disposal of Property Plant and Equipment		-	-
Net drawdown of Investments		<u>(203,360,787)</u>	<u>(155,406,078)</u>
Net cash flows generated / (used) in investing activities		<u>(219,263,928)</u>	<u>(159,079,513)</u>
Financing Activities			
Proceeds from Share issue		-	-
Stamp Duty on Share Allotment		-	-
Net cash flows used in financing activities		<u>-</u>	<u>-</u>
Net (decrease)/increase in cash and cash equivalents		(58,932,208)	13,407,015
Cash and cash equivalents at 1 January		<u>106,504,318</u>	<u>28,638,157</u>
Cash and cash equivalents at 30 June		<u>47,572,110</u>	<u>42,045,172</u>
Analysis of Cash and Cash Equivalents			
Favourable Balance:			
Cash at Hand		260,612	182,204
Cash at Bank		47,311,498	41,862,968
Short Term Investments		-	-
		<u>47,572,110</u>	<u>42,045,173</u>
Unfavourable Balances			
Bank Overdrafts		-	-
Total Cash and Cash Equivalents		<u>47,572,110</u>	<u>42,045,173</u>

Arpico Insurance PLC

STATEMENT OF CHANGES IN EQUITY

For the Six Months Ended 30 June

	Stated Capital	AFS reserve	Revenue Reserve	Total
	Rs.	Rs.	Rs.	Rs.
Balance as at 1 January 2016	675,564,870	-	(28,312,297)	647,252,573
Issue of share capital		-	-	-
Other Comprehensive Income	-	-	-	-
Net profit for the period	-	-	22,314,216	22,314,216
Un audited Balance as at 30 June 2016	675,564,870	-	(5,998,081)	669,566,789
Issue of share capital	-	-	-	-
Share Issue Expenses	-	-	-	-
Other Comprehensive Income	-	-	(431,855)	(431,855)
Net profit for the period	-	-	85,574,955	85,574,955
Audited Balance as at 31 December 2016	675,564,870	-	79,145,019	754,709,889
Issue of share capital	-	-	-	-
Other Comprehensive Income	-	-	-	-
Net profit for the period	-	-	23,731,779	23,731,779
Un audited Balance as at 30 June 2017	675,564,870	-	102,876,797	778,441,667

Arpico Insurance PLC

Notes to Interim Financial Statements

- Figures in the these Condensed Interim Financial Statements for the period ended 30th June 2017 are provisional ar
- The Condensed Interim Financial Statements have been prepared in accordance with Sri Lanka Accounting and Auditing Standards, which compliance with Sri Lanka Accounting Standards promulgated by the Institute of Chartered Accountants of Sri Lanka (CA-Sri Lanka) and cc the requirements of the Companies Act, No. 7 of 2007 and the Regulation of Insurance Industry Act, No. 43 of 2000 and the listing rules of t Stock Exchange. The same accounting policies and methods of computation as stated in the Audited Financial Statements - 2016 have been preparation of these Condensed Interim Financial Statements .Comparative information have been re-valued/re-classified where necessary to the current period recognition, measurement and presentations.

3. REVENUE		Six Months Ended 30 June Unaudited 2017 Rs	Six Months Ended 30 June Unaudited 2016 Rs	Three Months Ended 30 June Unaudited 2017 Rs	Three Months Ended 30 June Unaudited 2016 Rs
	Notes				
Gross Written Premium	4(a)	408,275,410	313,324,954	209,778,678	172,457,201
Premium Ceded to Reinsurers	4(b)	(19,308,948)	(11,438,915)	(12,290,064)	(6,487,279)
Net Written Premium		388,966,462	301,886,039	197,488,614	165,969,922
Fees and commission income		8,739,937	3,006,112	4,332,191	1,561,194
Investment income		72,254,051	47,316,391	37,415,186	25,845,425
Other operating revenue		2,231,695	1,706,070	1,112,108	926,738
Realise Gain		1,297,874		1,297,874	
Total Revenue		<u>473,490,019</u>	<u>353,914,612</u>	<u>241,645,973</u>	<u>194,303,279</u>
4. NET WRITTEN PREMIUMS					
4(a) Gross premiums on insurance contracts					
		Six Months Ended 30 June Unaudited 2017 Rs	Six Months Ended 30 June Unaudited 2016 Rs	Three Months Ended 30 June Unaudited 2017 Rs	Three Months Ended 30 June Unaudited 2016 Rs
Conventional Policy		408,275,410	313,324,954	209,778,678	172,457,201
Total gross written premiums		<u>408,275,410</u>	<u>313,324,954</u>	<u>209,778,678</u>	<u>172,457,201</u>
4 (b). Premiums ceded to reinsurers on insurance contracts					
		Six Months Ended 30 June Unaudited 2017 Rs	Six Months Ended 30 June Unaudited 2016 Rs	Three Months Ended 30 June Unaudited 2017 Rs	Three Months Ended 30 June Unaudited 2016 Rs
Conventional Policy		(19,308,948)	(11,438,915)	(12,290,064)	(6,487,279)
Total premiums ceded to reinsurers		<u>(19,308,948)</u>	<u>(11,438,915)</u>	<u>(12,290,064)</u>	<u>(6,487,279)</u>
Total net written premiums		<u>388,966,462</u>	<u>301,886,039</u>	<u>197,488,614</u>	<u>165,969,922</u>
5. INVESTMENT INCOME					
		Six Months Ended 30 June Unaudited 2017 Rs	Six Months Ended 30 June Unaudited 2016 Rs	Three Months Ended 30 June Unaudited 2017 Rs	Three Months Ended 30 June Unaudited 2016 Rs
Available-for-sale financial assets					
Interest income		34,391,012	24,767,539	17,844,632	14,109,861
Loans and receivables interest income		37,863,039	22,548,852	19,570,553	11,735,564
Total investment income		<u>72,254,051</u>	<u>47,316,391</u>	<u>37,415,186</u>	<u>25,845,425</u>

Arpico Insurance PLC
Notes to Interim Financial Statements

6. EARNINGS /(LOSS) PER SHARE

Basic earnings per share amounts is calculated by dividing the net profit/ loss for the year attributable to ordinary shareholders by the weighted average number of ordinary shares outstanding at the reporting date.

	Six Months Ended 30 June Unaudited 2017 Rs	Six Months Ended 30 June Unaudited 2016 Rs
Profit /(Loss) for the year	23,731,779	22,314,216
Weighted Average Number of Ordinary Shares (Nos)	67,556,487	67,556,487
Basic earnings / (loss) per ordinary share Rs	0.35	0.33

There have been no other transactions involving ordinary shares or potential ordinary shares between the reporting date and the date of completion of these financial statements.

7. FINANCIAL ASSETS

	30-Jun-17 Unaudited Rs	31-Dec-16 Audited Rs
Loans and receivables	855,648,312	770,904,670
Available-for-sale financial assets	594,673,236	474,498,080
Total financial instruments	<u>1,450,321,548</u>	<u>1,245,402,750</u>

The following table consists of the fair values of the financial investments together with their carrying values.

	30-Jun-17 Carrying value Unaudited Rs	30-Jun-17 Fair value Unaudited Rs	31-Dec-16 Carrying value Audited Rs	31-Dec-16 Fair value Audited Rs
Loans and receivables	7 (a). 855,648,312	855,648,312	770,904,670	770,904,670
Available-for-sale financial assets	7 (b). 594,673,236	594,673,236	474,498,080	474,498,080
Total financial instruments	<u>1,450,321,548</u>	<u>1,450,321,548</u>	<u>1,245,402,750</u>	<u>1,245,402,750</u>

7 (a). Loans and receivables

	30-Jun-17 Unaudited Rs	31-Dec-16 Audited Rs
Investment in Corporate Debt	490,197,904	443,356,097
Investment in Fixed Deposit	252,788,765	216,592,508
Investment in Repos	152,661,644	150,956,065
	<u>895,648,312</u>	<u>810,904,670</u>
Provision for Impairment	<u>(40,000,000)</u>	<u>(40,000,000)</u>
	<u>855,648,312</u>	<u>770,904,670</u>

7 (b). Available for sale financial assets

	30-Jun-17 Unaudited Rs	31-Dec-16 Audited Rs
Investments in Government Securities	594,673,236	474,498,080
	<u>594,673,236</u>	<u>474,498,080</u>

Arpico Insurance PLC
Notes to Interim Financial Statements

8. INSURANCE CONTRACT LIABILITIES	30-Jun-17 Unaudited Rs	31-Dec-16 Audited Rs
Balance as at beginning		
Change in contract liabilities life fund	726,047,856	436,177,616
Increase in Life insurance fund before surplus transfer	150,136,984	350,207,532
Surplus transferred from share holders	-	(60,000,000)
Increase in Life insurance fund	150,136,984	290,207,532
Movement in AFS reserve transferred to life fund	7,229,964	(337,292)
Balance as at end of the Periods	883,414,804	726,047,856

8 (a) Increase in Life insurance fund before surplus transfer

2017 June (Unaudited)

	Gross Insurance Contract Liabilities Rs	Reinsurance or Insurance contract liabilities Rs	Net Insurance Contract Liabilities Rs
Premiums received	408,275,410	(19,308,948)	388,966,462
Liabilities paid for death, benefits and claims	(69,027,964)	18,372,725	(50,655,239)
Underwriting and Net Acquisition Costs	(149,662,384)		(149,662,384)
Fees (deducted)/received	10,971,632		10,971,632
Investment return	48,522,272		48,522,272
Realise Gain	1,297,874		1,297,874
Other operating and administrative expenses	(99,303,633)		(99,303,633)
As at 30 June 2017	151,073,207	(936,223)	150,136,984

2016 December (Audited)

	Gross Insurance Contract Liabilities Rs	Reinsurance or insurance contract liabilities Rs	Net Insurance Contract Liabilities Rs
Premiums received	745,386,354	(24,436,905)	720,949,449
Liabilities paid for death, benefits and claims	(88,251,048)	9,252,901	(78,998,147)
Underwriting and Net Acquisition Costs	(214,224,769)		(214,224,769)
Fees (deducted)/received	11,043,207		11,043,207
Investment return	66,690,745		66,690,745
Realise Gain	(1,089,247)		(1,089,247)
Other operating and administrative expenses	(154,163,709)		(154,163,709)
As at 31 December 2016	365,391,534	(15,184,004)	350,207,532

INSURANCE CONTRACT LIABILITIES - LIFE

The valuation of the Insurance Contract Liabilities have been carried out by the consultant Actuaries for the year ended 31st 2016 and based on that adequate provisions have been made in these Condensed Consolidated Interim Financial Statements

Liability Adequacy Test (LAT)

The Company carried out a Liability Adequacy Test (LAT) for the period ended 31st December, 2016 in respect of Life Insurance Contract Liabilities (Insurance Provisions) as required by SLFRS 4 - Insurance Contracts with the assistance of an Independent Consultant M/S Actuarial Partners. Based on that valuation, the recorded liabilities are adequate to meet future obligations of Life Insurance Contracts in light of estimated future cash flows.

Arpico Insurance PL

Notes to Interim Financial Statements

9. TAXATION AND DEFERRED TAX

The company is liable to pay income tax at the rate of 28% of its taxable profits in accordance with the provision of the Inland Revenue Act, No 10 of 2006 and subsequent amendment thereto. Life Insurance Business does not have an income tax expense so far.

Thus, no deferred tax assets is recognized in the financial Statements as it is not probable that the future taxable profit will be able to utilize the available tax losses fully in the foreseeable future.

10. AMOUNTS DUE TO RELATED PARTY

Related Party	Relationship	30-Jun-17 Unaudited Rs	31-Dec-16 Audited Rs
Richard Pieris & Company PLC	Ultimate Parent	2,392,468	6,075,173
Richard Pieris Distributors Limited	Affiliate	2,174,896	167,073
Arpitech (pvt) Ltd	Affiliate	436,761	421,582
Arpico Interiors (Pvt) Ltd	Affiliate	-	12,679
RPC Logistics (Pvt) Ltd	Affiliate	3,420	-
		<u>5,007,545</u>	<u>6,676,507</u>

11. CONTINGENT LIABILITIES

Contingent liabilities are not recognized in the Statement of Financial Position but disclosed if there is a possible future obligation as a result of a past event or if there is a present obligation as a result of a past event but either a payment is not probable or the amount cannot be reasonably estimated as at the date of Statement of Financial Position. As at the 30th June 2017, end of the interim period, capital commitment and contingencies approved by the board and contracted for which no provision has been made in the interim financial statements.

12. EVENTS OCCURRING AFTER THE REPORTING DATE

The directors give due consideration to and where necessary adjustments or disclosures are made in the current Financial Statements in respect of material post Statement of financial position events as appropriate. There have been no material events occurring after the reporting date that require adjustments to or disclosure in the interim financial statements.

Arpico Insurance PL

Notes to Interim Financial Statements

For the Six Months Ended 30 June 2017

Share Information

Top 20 Shareholders		
Name of the Shareholder	As at 30th June 2017	
	<u>Shareholding</u>	<u>% on Issued Shares</u>
1 KEGALLE PLANTATIONS LIMITED	26,685,001	40.29
2 RICHARD PIERIS DISTRIBUTORS LIMITED	17,790,001	26.86
3 RICHARD PIERIS AND CO LTD	15,125,001	22.84
4 MR.J.P.PAUL	1,334,803	2.02
5 MR.S.S.MAARAN	609,894	0.92
6 MR.S.SENTHINANDHANAN	545,756	0.82
7 MR.H.V.SENAWEEERA	393,316	0.59
8 MR.P.B.PERERA	338,593	0.51
9 MR.A.P.ARUMUGAMPILLAI	305,000	0.46
10 MR.C.S.N.SILVAPULLE	216,834	0.33
11 MR.S.SIVASHANTH	200,000	0.30
12 MR.B.A.R.DISSANAYAKE	200,000	0.30
13 PAN ASIA BANKING CORPORATION PLC/MR.S.GOBINATH	154,999	0.23
14 MRS.M.S.E.V.E.A.U.VON STUMM	150,000	0.23
15 DR.A.S.WIJENAYAKA	145,284	0.22
16 MR.F.N.HERFT	143,811	0.22
17 ELGIN INVESTMENTS LIMITED	120,000	0.18
18 MRS.M.P.B.FERNANDO	100,000	0.15
19 FLYBRUNEI SDN BHD	99,700	0.15
20 MR.M.L.A.BENEDICT	92,952	0.14
	<u>64,750,945</u>	<u>97.76</u>
Public Shareholding		
	As at 30th June 2017	
	No. of Shares	% on Issued Shares
Number of Shares	<u>6,630,400</u>	<u>10.10</u>
	No. of Shares	% on Issued Shares
Number of Shareholders	<u>522</u>	<u>99.24</u>
Directors' Shareholdings		
There is no share holding by the directors as at As at 30th June 2017		
Number of Shares		
No. of shares representing the Stated Capital	66,230,407	
Class of Share	Ordinary	
Voting Rights	One vote per Ordinary Share	
Share Performance		
Net Asset Value Per Share as at As at 30th June 2017	11.8	
Highest Price Per Share for the Interim Period	20.0	
Lowest Price Per Share for the Interim Period	13.0	
Last traded Price Per Share as at As at 30th June 2017	18.5	